

Section I

20 marks

Attempt questions 1 – 20

Allow about 35 minutes for this section

Use the multiple choice answer sheet for this section

1. Which of the following is a transforming resource?
 - (A) Materials
 - (B) Information
 - (C) Intermediate goods
 - (D) Human resources

2. If a business wants to increase its market share, which pricing strategy should it use?
 - (A) Market based pricing
 - (B) Price penetration
 - (C) Price points
 - (D) Price skimming

3. Which of the following is an external source of equity finance?
 - (A) Commercial bills
 - (B) Debentures
 - (C) Ordinary shares
 - (D) Overdraft

4. The process whereby a third party is involved in an industrial dispute, and makes a legally binding decision to resolve the dispute, is known as which of the following?
 - (A) Arbitration
 - (B) Conciliation
 - (C) Mediation
 - (D) Negotiation

5. Which of the following is a primary source of data collection in the marketing process?
 - (A) Sales reports
 - (B) Internet sites
 - (C) Surveys
 - (D) Annual reports

6. Which of the following is an effective inventory management system?

- (A) Global sourcing
- (B) Quality control
- (C) Just in time
- (D) Value chains

7. Which of the following best defines critical path analysis?

- (A) Finding the shortest possible time for operations
- (B) Finding the longest time for operations
- (C) Finding the actual time for operations
- (D) Finding the monitoring time for operations

Use the following information to answer questions 8 and 9

Financial data for ABC Enterprises

	2010	2011
Sales	200 000	206 000
Expenses	10 000	16 000
Accounts receivable	20 000	5 400

8. What is the expense ratio for 2010?

- (A) 3.65%
- (B) 5.0%
- (C) 7.7%
- (D) 9.6%

9. Which of the following is an accurate assessment of the efficiency of ABC Enterprises?

- (A) The expense ratio has improved and the accounts receivable turnover ratio has worsened
- (B) The expense ratio and the accounts receivable turnover ratio have both improved
- (C) The expense ratio has worsened and the accounts receivable turnover ratio has improved
- (D) The expense ratio and the accounts receivable turnover ratio have both worsened

10. Which stakeholders are represented by unions?

- (A) Employers
- (B) Employees
- (C) Government
- (D) Society

11. What does a Gantt chart show?

- (A) Actual and planned progress
- (B) Potential and possible progress
- (C) Feedback and feed forward progress
- (D) Timed and past progress

12. A clothing manufacturer sells its label in major department stores.
Which distribution channel are they using?

- (A) Physical
- (B) Exclusive
- (C) Selective
- (D) Intensive

13. Which of the following is the strategic role of human resources?

- (A) Reducing industrial action
- (B) Reducing costs by lowering wages and salaries
- (C) Managing the total relationship between employees and the employer
- (D) Managing the way in which staff are given training and development

14. Which elements of the promotion mix is a business using if they send emails to customers to inform them of discounts and competitions?

- (A) Publicity and personal selling
- (B) Relationship marketing and sales promotion
- (C) Personal selling and relationship marketing
- (D) Sales promotion and publicity

15. If a business needs to improve its liquidity, what does management need to better manage?

- (A) Debt
- (B) Working capital
- (C) Equity
- (D) Sale and lease back

16. Which of the following are examples of operational performance objectives?
- (A) Cost, speed and profit
 - (B) Quality, profit and speed
 - (C) Cost, quality and profit
 - (D) Quality, cost and speed
17. The introduction of a mineral resources tax for mining companies is likely to impact upon which of the following?
- (A) Stability
 - (B) Liquidity
 - (C) Solvency
 - (D) Profitability
18. A business needs to reduce the number of employees because of a fall in consumer confidence and rising interest rates. Which influence is at play?
- (A) Social
 - (B) Technological
 - (C) Economic
 - (D) Environmental
19. What is standardisation?
- (A) When a domestic business produces one product for a particular market.
 - (B) When a global business produces a uniform product for a range of world markets.
 - (C) A policy adopted by all businesses when the decision is made to expand globally
 - (D) A policy that ensures all products meet a predetermined standard in terms of quality
20. Which of the following is a benefit of outsourcing the human resource function?
- (A) Reduces costs
 - (B) Increases insurance premiums
 - (C) Reduces specialisation
 - (D) Increases staff numbers

Section II

40 marks

Attempt questions 21 – 24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Question 21 (10 marks)

Financial ratios for Matt's Winter Wonderland for 2010/2011

	2010	2011
Current ratio	2:1	1:1
Gross profit ratio	35%	35%
Net profit ratio	30%	25%
Return on owner's equity	10%	5%
Accounts receivable turnover ratio	35 days	55 days

- (a) Comment on the liquidity of Matt's Winter Wonderland. (2 marks)

- (b) State ONE reason for the change in the net profit ratio. (1 mark)

- (c) Recommend ONE strategy that could be used to improve the efficiency of Matt's Winter Wonderland. (2 marks)

(d) Evaluate the financial performance of Matt's Winter Wonderland during 2010/2011.
(5 marks)

Question 22 (10 marks)

The new CEO of TELCO, a communications business, begins her address to the senior management team by saying:

'We compete in a global economy. We must adapt to survive. Our employees are our competitive advantage.'

(a) Define globalisation.

(2 marks)

(b) Define the term 'competitive advantage'.

(2 marks)

(c) Describe ONE legal influence that may impact on the management of human resources at TELCO.

(3 marks)

(d) Recommend a strategy TELCO could implement to accommodate changing work patterns within the telecommunications industry. (3 marks)

Question 23 (10 marks)

NutriYum Ltd manufactures snack foods. They have an established product that is in the mature phase of the product life cycle but local sales are falling due to increased competition. Management are considering taking the business global.

- (a) Outline the product life cycle. (2 marks)

- (b) Describe ONE factor that may be influencing customer choice. (3 marks)

- (c) Explain ONE global marketing approach available to NutriYum Ltd. (5 marks)

Question 24 (10 marks)

ZOZO Surfing Company manufactures and sells surfboards. Over the past two years it has experienced problems related to the operations processes and strategies. Management are looking to make significant changes over the next six months.

- (a) Outline the strategic role of operations. (2 marks)

- (b) Describe ONE operations strategy ZOZO Surfing Company could change to improve its overall performance. (4 marks)

(c) Why might there be resistance to change at ZOZO Surfing Company? (4 marks)

Section III

20 marks

Attempt question 25

Allow about 35 minutes for this section

Answer the question in a SEPARATE writing booklet. Extra booklets are available

In your answer you will be assessed on how well you:

- Demonstrate knowledge and understanding relevant to the question
 - Apply the hypothetical business situation
 - Communicate using relevant business terminology and concepts
 - Present a sustained, logical and cohesive response in the form of a business report
-

Question 25

A+ Ltd currently manufactures cosmetics and owns a chain of cosmetics stores in Australia. The sales staff is experienced and provides personalised service to customers. A+ Ltd management believes that valuing employees leads to high quality service and customer satisfaction.

A+ Ltd management are undertaking some strategic planning which involves wanting to do business in a more socially responsible way, improve profitability and monitor the human resource processes.

You have been employed as a consultant to prepare a report for A+ Ltd.

In your report:

- Outline the processes of human resource management.
- Explain how A+ Ltd can improve its profitability.
- Evaluate the importance of corporate social responsibility, as an influence on operations, to the future success of A+ Ltd.

Section IV

20 marks

Attempt EITHER Question 26 or Question 27

Allow about 35 minutes for this section

Answer the question in a SEPARATE writing booklet. Extra booklets are available

In your answer you will be assessed on how well you:

- Demonstrate knowledge and understanding relevant to the question
 - Apply relevant business case study/studies and contemporary business issues
 - Communicate using relevant business terminology and concepts
 - Present a sustained, logical and cohesive response
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Question 26

Analyse how marketing strategies can assist a business to develop a competitive advantage.

Question 27

Analyse the importance of quality management to the success of a business.

Student Name: _____

BUSINESS STUDIES
TRIAL HSC EXAMINATION
2012

Marking Guidelines

Section I

1	D	2	B	3	C	4	A	5	C	6	C	7	A	8	B	9	C	10	B
11	A	12	C	13	C	14	B	15	B	16	D	17	D	18	C	19	B	20	A

Section II

Q21 (a) Comment on the liquidity of Matt's Winter Wonderland.

Criteria	Marks
• Comments on the liquidity and makes reference to the stimulus	2
• Comments on the liquidity	1

Answers may include:

Ratio has changed from 2:1 to 1:1

Business has become less liquid.

Able to pay debts as they fall due but no cash reserves for unexpected claims against the business

Q21 (b) State one reason for the change in the net profit ratio

Criteria	Marks
• States one valid reason for the change in the net profit ratio	1

Answers may include:

Increase in expenses

Q21 (c) Recommend one strategy that could be used to improve the efficiency of Matt's Winter Wonderland

Criteria	Marks
• Recommends one strategy that could improve the efficiency	2
• States a strategy that could improve the efficiency	1

Answers may include:

Decrease expenses- this would improve the expenses ratio and thereby improve efficiency

Change in credit policy

Discounts for early payments

Interest charges on late payments – these would encourage prompt payment of accounts receivable and thereby improve efficiency

Q21 (d) Evaluate the financial performance of Matt's Winter Wonderland during 2010/2011

Criteria	Marks
• Evaluates the financial performance during 2010/2011	5
• Explains the financial performance during 2010/2011	4
• Describes the financial performance during 2010/2011	3
• Outlines the financial performance	2
• Identifies some features of the financial performance	1

Answers may include:

Business becomes less efficient as indicated by expenses ratio and accounts receivable turnover ratio – this impacts on profitability and level of working capital

Business is less profitable as indicated by NPR and ROE

Decrease in current ratio indicates possible liquidity problems – management of working capital more difficult

Q22(a) Define globalisation

Criteria	Marks
• Correctly defines globalisation	2
• Identifies a feature of globalisation	1

Answers may include:

The removal of barriers to trade between nations.

Increasing integration between national economies and the increased movement of goods, services, finances and technology

Q22 (b) Define the term 'competitive advantage'

Criteria	Marks
• Correctly defines competitive advantage	2
• Identifies features of competitive advantage	1

Answers may include:

Strategies used by a business to gain an 'edge' over its competitors

Q22 (c) Describe one legal influence that may impact on the management of human resources at TELCO

Criteria	Marks
• Describes one legal influence relevant to the management of human resources at TELCO	3
• Outlines one legal influence relevant to the management of human resources at TELCO	2
• Identifies one legal influence	1

Answers may include:

Employment contracts – common law, minimum employment standards and wage rates, awards, enterprise agreements and other contracts

OH&S and workers compensation

Anti-discrimination and equal employment opportunities

Q22 (d) Recommend a strategy TELCO could implement to accommodate changing work patterns within the telecommunications industry

Criteria	Marks
• Recommends a strategy TELCO could implement to accommodate changing work patterns	3
• Outlines a strategy TELCO could implement to accommodate changing work patterns	2
• Identifies a strategy TELCO could implement to accommodate changing work patterns	1

Answers may include:

Career flexibility and mobility

Family friendly workplaces

Job sharing

Succession planning

Q23 (a) Outline the product life cycle

Criteria	Marks
• Outlines the product life cycle	2
• Defines the product life cycle	1

Answers may include:

Consists of the stages a product goes through – introduction, growth, maturity and decline

Q23 (b) Describe one factor that may be influencing customer choice

Criteria	Marks
• Describes one factor that may be influencing customer choice	3
• Outlines one factor that may be influencing customer choice	2
• Identifies a factor that may influence customer choice	1

Answers may include:

Psychological

Economic

Social/cultural

government

Q23 (c) Explain one global marketing approach available to NutriYum Ltd

Criteria	Marks
• Explains one global marketing approach available to NutriYum Ltd	4-5
• Describes one global marketing approach available to NutriYum Ltd	3
• Outlines one global marketing approach available to NutriYum Ltd	2
• Identifies one global marketing approach available to NutriYum Ltd	1

Answers may include:

Global branding, standardization, customization, global pricing, competitive positioning

Q24 (a) Outline the strategic role of operations

Criteria	Marks
• Outlines the strategic role of operations	2
• Identifies a role of operations or defines operations	1

Answers may include:

Strategic role of operations involves the coordination and integration of the key business functions to achieve the plans and objectives of the business

Q24 (b) Describe one operations strategy ZOZO Surfing Company could change to improve its overall performance

Criteria	Marks
• Describes one operations strategy relevant to ZOZO Surfing Company to improve its overall performance	3 - 4
• Outlines one operations strategy relevant to ZOZO Surfing Company to improve its overall performance	2
• Identifies one operations strategy relevant to ZOZO Surfing Company to improve its overall performance	1

Answers may include:

Performance objectives, new product or service design and development, supply chain management, outsourcing, technology, inventory management, quality management, overcoming resistance to change, global factors

Q24 (c) Why might there be resistance to change at ZOZO Surfing Company?

Criteria	Marks
• Provides a detailed reason/s for resistance to change	3-4
• Provides a reason/s for resistance to change	2
• States a reason/s for resistance to change	1

Answers may include:

Financial costs

Inertia

Loss of jobs/career prospects

Need for retraining

Section III 20 marks
QUESTION 25

You have been employed as a consultant to prepare a report for A+ Ltd.

In your report:

- **Outline the processes of human resource management**
- **Explain how A+ Ltd can improve its profitability**
- **Evaluate the importance of corporate social responsibility, as an influence on operations, to the future success of A+ Ltd.**

Criteria	Marks
• Presents a sustained, logical and well structured answer and clearly communicates in the form of a business report with relevant business terminology and concepts • Sketches in general terms the processes of human resource management • Shows the cause and effect of how A+ Ltd can improve its profitability • Makes a judgement based on criteria as to the importance of social responsibility, as an influence on operations, to the success of A+ Ltd. • Provides extensive reference to stimulus material	17 – 20
• Presents a well organised business report and uses relevant business terminology and concepts • Sketches in general terms the processes of human resource management • Shows the cause and effect of how A+ Ltd can improve its profitability • Shows the relationship between the importance of social responsibility, as an influence on operations, and the success of A+ Ltd. • Provides reference to the stimulus material	13 - 16
• Includes features of a business report and uses some business terminology and concepts • Sketches in general terms the processes of human resource management • Provides characteristics of how A+ Ltd can improve its profitability • Provides characteristics of the importance of social responsibility, as an influence on operations • May refer to the stimulus	9 - 12
• May include some features of a business report and uses basic business terminology • Sketches in general terms human resources • Sketches in general terms profitability management strategies • Sketches in general terms social responsibility • May refer to the stimulus	5 - 8
• Uses basic business terminology • May refer to human resources • May refer to profitability • May refer to social responsibility	0 - 4

Answers may include:

Processes of human resource management

Acquisition

Development

Maintenance

Separation

Profitability management strategies

Cost controls – fixed and variable, cost centres, expense minimisation

Revenue controls – marketing objectives

Corporate social responsibility, as an influence on operations

The difference between legal compliance and ethical responsibility

Environmental sustainability and social responsibility

Section IV 20 marks
QUESTION 26

Analyse how marketing strategies can assist a business to develop a competitive advantage.

Criteria	Marks
- Clearly supports response with reference to relevant case study/studies - Presents a sustained, logical and well-structured answer and clearly communicates using relevant business terminology and concepts - Draws out and relates implications of how marketing strategies can assist a business to develop a competitive advantage	17 – 20
- Makes reference to relevant case study/studies - Presents a well organised answer and uses relevant business terminology and concepts - Provides why and or how marketing strategies can assist a business to develop a competitive advantage	13 - 16
- May make reference to relevant case study/studies - Presents an organised answer and uses business terminology and concepts - Provides features and characteristics of marketing strategies and how they can assist a business to develop a competitive advantage	9 - 12
- May make limited reference to relevant case study/studies - Communicates using some business terminology and concepts - Sketches in general terms marketing strategies	5 - 8
- Uses basic terminology - May refer to marketing strategies - May refer to competitive advantage	0 - 4

Answers may include:

Definition of competitive advantage

Marketing strategies:

Price

- *Methods – cost, market, competition based*
- *Strategies – skimming, penetration, loss leaders, price points*
- *Price and quality interaction*

Product

- *Branding*
- *packaging*

Place

- *distribution channels*
- *channel choice*
- *physical distribution issues*

Promotion

- *elements of the promotion mix – advertising, personal selling and relationship marketing, sales promotions, publicity and public relations*
- *communication process – opinion leaders, word of mouth*

Section IV 20 marks

QUESTION 27

Analyse the importance of quality management to the success of a business

Criteria	Marks
- Clearly supports response with reference to relevant case study/studies - Presents a sustained, logical and well-structured answer and clearly communicates using relevant business terminology and concepts - Draws out and relates implications of the importance of quality management to the success of a business	17 – 20
- Makes reference to relevant case study/studies - Presents a well organised answer and uses relevant business terminology and concepts - Provides why and or how quality management is important to the success of a business.	13 - 16
- May make reference to relevant case study/studies - Presents an organised answer and uses business terminology and concepts - Provides characteristics and features of quality management and relates this to success of a business.	9 - 12
- May make limited reference to relevant case study/studies - Communicates using some business terminology and concepts - Sketches in general terms quality management	5 - 8
- Uses basic terminology - May refer to quality management - May refer to success of a business	0 - 4

Answers may include:

Quality management refers to those processes that a business undertakes to ensure consistency, reliability, safety and fitness of purpose of products

- *Control- involves the use of inspections at various points in the production process to check for problems and defects*
- *Assurance – involves the use of a system to ensure that the set standards are achieved in production*
- *Improvement – focuses on two aspects*
 - *Continuous improvement – ongoing commitment to improving a business's goods and services*
 - *Total quality management – concept that focuses on managing the total business to deliver quality to customers*

The link between quality management and success MUST be clear!